D 135 | Value first, price separately

PRIVATE FICTIONAL cash acquisition. Crore INR; end-year expected after-tax cash flows. No actual Swiggy transaction, bid, agreement, trade, funding, data access or legal advice.

Missing is not zero	Revenue 120, EBITDA margin minus 5%, growth and WACC do not supply FCFF. Tax, cash conversion, depreciation, capex, working capital, horizon/terminal and debt/cash assumptions remain missing. Use only the complete independent toy below.
Operating to equity	FCFF 8 in year 1, 10 in year 2; year 3=10*(1+.03)=10.3, grows 3% thereafter. At 13%, end-year 2 terminal 103; EV 95.575221. Subtract debt 20, add excess cash 5 to get equity 80.575221. No double subtraction of debt in FCFF.
Control versus synergy	Control 2 only in year 2 has PV 1.566293. Separate combination 3 in year 1 and 5 in year 2, less upfront integration 2, gives net synergy 4.570601. No terminal increment or overlap. Each 13% rate is stipulated risk-matched, not automatically the acquirer/combined WACC.
Ceiling versus upside	Equity ceiling 86.712115; modeled premium 6.136894 above standalone equity. This is not an observed market premium or recommended bid. Paying the ceiling leaves zero modeled acquirer NPV.20% above the whole ceiling gives 104.054538 and NPV minus 17.342423.
Stress without rewriting	Delay combination benefits 1 year while integration stays at time 0. Separate diagnostic: discover 1 of year 2 synergy duplicated control, remove its discounted PV once. Neither diagnostic silently changes the original case. No second probability haircut on already expected cash flows.
Attempt and stop	Change one input family, explain the new price/value and restore. Keep original exercise/quiz intact. Actual dependency/owner/evidence/stop-condition work stays blank, not an always-three/100 days rule. No current Indian tax/accounting/competition applicability determined.

Inputs | Match timing, risk and valuation basis

Yellow synthetic controls. FCFF and incremental benefits may be negative. Debt, excess cash and integration cost nonnegative. Structural validity is not economic feasibility, lawful access or authority.

Standalone FCFF year1	8.00
Standalone FCFF year2	10.00
Perpetual growth after year2	0.03
Operating cash-flow discount rate	0.13
Target debt held fixed in equity bridge	20.00
Target excess cash held fixed in equity bridge	5.00

Control increment only at end of year2	2.00
Control cash-flow discount rate	0.13

Expected combination cash flow year1	3.00
Expected combination cash flow year2	5.00
Upfront integration cost at time0	2.00
Combination cash-flow discount rate	0.13

Inputs | Match timing, risk and valuation basis

Yellow synthetic controls. FCFF and incremental benefits may be negative. Debt, excess cash and integration cost nonnegative. Structural validity is not economic feasibility, lawful access or authority.

Bid fraction above WHOLE equity ceiling	0.20
Separate delay to combination benefits, whole years	1.00
Separate duplicate in year2 synergy to remove	1.00

Standalone inputs valid?	1.000000
Control inputs valid?	1.000000
Combination inputs valid?	1.000000
Whole-ceiling bid inputs valid?	1.000000
Delay inputs valid?	1.000000
Overlap diagnostic input valid?	1.000000

Discount rates and growth are decimals, not whole percentages. g must be strictly below r; g may be negative above minus 100%. Expected flows already include probability/cost effects specified in the original case. A clean numeric model does not establish real forecasts, financing, legal clearance or consent.

Standalone | Terminal timing and equity bridge

Crore. FCFF after operating tax/reinvestment, before financing cash flows. All terminal continuation begins with year 3; no year 2 cash flow counted twice.

Year3 FCFF	10.300000
Terminal value at END of year2	103.000000
PV year1 operating FCFF	7.079646
PV year2 operating FCFF	7.831467
PV terminal at time0	80.664108
Standalone operating EV	95.575221
Standalone equity value	80.575221
Net debt: debt less excess cash	15.000000

EV 95.575221 and equity 80.575221 are different claims. Debt/cash are fixed bridge assumptions, not a commitment to settle either. Negative modeled equity is not silently floored to zero and does not model limited-liability option value. No financing, pension, lease or other claim invented.

Control | Improve the same target counterfactual

Only 2 at end of year 2 in the original case; no terminal continuation. This is not an automatic percentage premium for acquiring votes.

PV of incremental control benefit	1.566293
Target equity with this control increment	82.141515

At 13%, 2/1.13^2=1.566293. Control can be negative under changed assumptions. Risk rate matches control flows; it is not inferred from funding cost or copied as a universal rule. Benefits already in the operating base cannot be added again.

Synergy | Expected benefits less integration

Separate combination-only after-tax incremental cash flows; already probability-weighted and net of cannibalization, ongoing costs and reinvestment. No extra terminal synergy.

PV year1 combination benefit	2.654867
PV year2 combination benefit	3.915733
Gross PV before upfront integration	6.570601
Net synergy PV after integration	4.570601

3/1.13+5/1.13^2=6.570601 gross; minus time 0 integration 2 gives 4.570601 net. Do not multiply expected cash flows by another guessed success probability. A new probability law needs its own explicit counterfactual and no duplicate ongoing cost deduction.

Price | A zero-NPV ceiling is not a bid

All amounts EQUITY cash consideration to target holders; debt/cash fixed consistently. No unmodeled transaction fees/financing/tax effects. Original overbid means 20% above the whole ceiling.

Maximum modeled zero-NPV equity price	86.712115
Ceiling less standalone equity	6.136894
Diagnostic premium / standalone equity	7.62%
Bid above WHOLE ceiling	104.054538
Acquirer NPV at above-ceiling bid	-17.342423
Acquirer NPV at ceiling	0.000000

Ceiling 86.712115, premium 6.136894. Bid 104.054538 gives minus 17.342423 NPV. Ceiling is not affordability, market price, fair-dealing clearance or authority. At nonpositive standalone equity the percentage diagnostic is undefined; an arithmetic negative ceiling is not an executable offer.

Delay | Same benefits later, cost still now

Separate diagnostic only. Shift both combination benefits by whole years; original case unchanged. Stipulated risk rate constant. No extra probability discount or repeated integration cost.

PV shifted year1 benefit	2.349440
PV shifted year2 benefit	3.465251
Delayed net synergy PV	3.814691
Change versus original synergy PV	-0.755910
Equity ceiling under delay diagnostic	85.956205

For positive future benefits and positive discount rate, delay reduces PV. That directional claim is conditional: negative flows or zero rate can change it. Delay 0 must restore the original synergy; control and standalone timing are not moved.

Overlap | Remove a duplicated cash saving once

Separate diagnostic: assume new evidence identifies some year 2 synergy cash flow already in control. Do not silently apply it to original case, whose components are disjoint.

PV of newly identified duplicate year2 amount	0.783147
Corrected diagnostic net synergy	3.787454
Corrected diagnostic equity ceiling	85.928969
Uncorrected ceiling less corrected ceiling	0.783147

Removing duplicate 1 at end of year 2 removes 0.783147 PV at 13%. This assumes the duplicated amount has that same timing/risk basis. A larger duplicate can expose an inconsistent synergy estimate; numeric validity does not certify the proposed overlap. Rebuild the counterfactual rather than hide it in premium.

Evidence | Coverage and disputed shortcuts

Written selected passages refreshed 13 November 2026. Not full papers, charts, uninterrupted lecture/video or independent deal evidence. Current Indian legal applicability remains unresolved.

Acquisition sequence	https://pages.stern.nyu.edu/~adamodar/pdfiles/AcqValn.pdf - selected opening/valuation/control and synergy steps. Separate status quo, control and combined value. Dated pooling/goodwill/tax examples not adopted as current accounting or Indian rules.
Risk and overlap	https://pages.stern.nyu.edu/~adamodar/pdfiles/papers/synergy.pdf - October 2005, selected opening, valuation sequence, control distinction, timing and wrong-rate passages. Cash-flow nondiversifiable risk governs; combined-rate language has new-business-risk exceptions. No blanket buyer/combined-WACC rule.
Lecture support	https://pages.stern.nyu.edu/~adamodar/pdfiles/valonlineslides/session12.pdf - selected synergy/control slides. https://pages.stern.nyu.edu/~adamodar/podcasts/cfspr19/session14slides.pdf - selected positive-NPV/target-risk acquisition slides. Same author, not independent replications. Dated worked deals are not current prices.
Counterfactual context	Prior selected Grant three-tests/better-off and BCG 2016 adding/subtracting discussion reused, not expanded: https://www.blackwellpublishing.com/content/GrantContemporaryStrategyAnalysis/6th_Edition/CSAC15.pdf and https://www.bcg.com/publications/2016/portfolio-strategy-capital-allocation-parenting-advantage . Net value, feasible alternatives and price must be kept distinct.
Source limits	Six URLs across teaching slides, research paper, textbook and edited practitioner discussion, not six independent efficacy studies. Historical takeover outcomes/price anecdotes, law, accounting and tax instruments not fully checked. No current legal/tax/competition conclusion or full AV/native parity/independent learner/overall 10 claim.
Dependency test	Actual work sheet stays blank: record mechanism, dependency, fictional proposed owner versus accepted real owner, lawful evidence and stop condition. A data combination needs lawful access plus incremental cash flow evidence. No contacts, integration execution, 100 day promise, record upload or funds released.

Actual work | Evidence and owners stay blank

Record only actual authorized work. No actual deal, corporate data access, private records, recruitment or funds needed.

Date/version	Mechanism	Dependency	Owner/acceptance	Evidence/rights	Stop condition	Delayed transfer

Actual work remains blank. Record only what occurred: dates, reasoning, error/source/correction, strongest objection and a new delayed transfer. No invented learner results, sponsor acceptance, actual budget release or signed rights.

Failure log | Authored execution only

Observed native tests are added only after execution. Not actual learner mistakes, independent human audit, Excel/Sheets parity, real authority or overall 10/10.

Controlled test	Observed authored outcome
Independent baseline arithmetic	PASS:35 baseline formulas independently recomputed.
Changed cash/rate/growth/bridge	PASS:8 operating and bridge changes.
Changed control/synergy/price	PASS:16 control/synergy/price/delay/overlap changes.
Delay and overlap counterfactuals	PASS:zero ceiling NPV, delay0 and overlap0 tested.
Invalid control isolation	PASS:16 invalid controls,560 formula checks.
Broken reference holds	PASS:6 broken references,6 explicit error checks.
Restored clean saved caches	PASS:24 changed sets+restore;clean caches.
Actual/reviewer/transfer blank	PASS:actual/reviewer/transfer rows blank.

Only the original synthetic course exercise at https://top1os.dev/ supplies the case figures. No new empirical reading, real participants, company records, Indian legal clearance, actual commitments or source completeness claimed.